

26VECV01494 26VECV01494

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Tentative Ruling

Merge Portfolio Owner v. Wilmington

Trust National Ass'n., Case no. 26VECV01494

Hearing date July 30, 2026

Defendants'

Demurrer with Motion to Strike the First Amended Complaint

Plaintiff

Merge Portfolio Owner, LLC sues defendants Wilmington Trust National

Association and K-Star Asset Management LLC, alleging contractual fraud.

Plaintiff obtained a loan from defendants, secured by commercial real estate;

plaintiff defaulted. Plaintiff alleges defendants engaged in bad faith conduct

following the default while the parties were working to resolve the default.

Defendants demur to the first amended complaint and move to strike. Plaintiff

opposes.

Defendants

request judicial notice of: (1) underlying loan agreement; (2) pre-negotiation

letter agreement; and (3) cash management agreement. GRANTED per to Evid. Code

§452; Scott v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 743, 754.

Defendants' Demurrer to the FAC

"The

function of a demurrer is to test the sufficiency of the complaint as a matter

of law.” *Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420. A complaint “is sufficient if it alleges ultimate rather than evidentiary facts,” *Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550, but plaintiff must allege essential facts “with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent” of the plaintiff’s claim. *Doheny Park Terrace Homeowners Ass’n., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.

Defendants

demur to the cause of action for breach of contract – loan agreement. Defendants argue plaintiff failed to allege an actual breach of the contract. The FAC alleges defendants failed to respond within 10 days to inquiries about a new master lease agreement, despite being required to do so by section 4.14 of the loan agreement. FAC, paras. 22-24. The loan agreement states: “(g) Notwithstanding anything to the contrary contained herein, to the extent Lender’s prior approval is required for any leasing matters set forth in this Section 4.14, Lender shall have ten (10) Business Days from receipt of written request and all required information and documentation relating thereto in which to approve or disapprove such matter, provided that such request to Lender is marked in bold lettering with the following language: “LENDER’S RESPONSE IS REQUIRED WITHIN TEN (10) BUSINESS DAYS OF RECEIPT OF THIS NOTICE PURSUANT TO THE TERMS OF A LOAN AGREEMENT BETWEEN THE UNDERSIGNED AND LENDER” and the envelope containing the request must be marked “PRIORITY.” In the event that Lender fails to respond to the leasing matter in question within such time, Lender’s approval shall be deemed given for all purposes.” RJN 1, §4.14(g).

The

FAC alleges plaintiff submitted the master lease to defendants for approval. FAC, para. 22. The FAC alleges plaintiff “substantially performed by repeatedly alerting Lender Defendants of the extreme urgency of the requested approval.” *Id.* at para. 23. The FAC contains no allegations that plaintiff complied with procedural notice requirements set forth in the loan agreement, i.e., proper capitalization or marking the envelope containing the request as priority mail. It is “proper to sustain a general demurrer because the petitioners [have] not alleged the happening of the condition precedent.” *Daum v. Superior Court* (1964) 228 Cal.App.2d 283. General allegations of substantial compliance via repeated notice are insufficient; plaintiff must allege specific performance in compliance with the terms of the contract to sustain a claim for breach of contract. SUSTAINED with 15 days leave to amend.

Defendants

demur to the cause of action for breach of contract – pre-negotiation agreement. Defendants argue plaintiff's allegations do not constitute an actual breach of the pre-negotiation agreement. The FAC alleges: "[d]efendants breached the terms of the PNA . . . by publicly filing [p]laintiff's operating account bank statements and other confidential materials without filing them under seal in a January 2025 complaint." FAC, para. 69. The FAC alleges this breach arises from a confidentiality clause in paragraph 1 of the pre-negotiation agreement. Id. at para. 65. The pre-negotiation agreement states: "...the Parties expressly stipulate and agree that both the content and the existence of statements and communications both written and oral among the Parties created during such Negotiations shall remain strictly confidential and protected." RJN 2, para. 1. The pre-negotiation agreement further states: "...this paragraph shall not pertain to information which, in the absence of Agreement, Noteholder would be entitled to obtain, inspect or review pursuant to the Loan Documents." Id.

Per

the terms of the loan agreement, defendants are entitled to obtain, inspect and review financial and management information. RJN 1, §4.12(c). Per the language of the pre-negotiation agreement, plaintiff's bank statements are not protected. The FAC fails to specify what, if any, other allegedly confidential information was disclosed. This is insufficient in the face of the judicially noticeable terms of the agreement to sustain a cause of action for breach of contract. SUSTAINED with 15 days leave to amend.

Defendants

demur to the third and fourth causes of action for derivative claims for breach of the implied covenant of good faith and fair dealing. Defendants argue the allegations "do not go beyond the statement of a mere contract breach and, relying on the same alleged acts, simply seek the same damages or other relief already claimed in a companion contract cause of action, they may be disregarded as superfluous as no additional claim is actually stated." *Careau & Co. v. Security Pac. Bus. Credit, Inc.* (1990) 222 Cal.App.3d 1371, 1395.

The

FAC alleges defendants "did not act fairly and in good faith" (FAC, paras. 73-91) and acted in bad faith by "intentionally delaying responses to Plaintiff's

proposals, refusing to meaningfully engage with revenue-enhancing leasing opportunities, restricting funds needed for operation of the Property, maintaining accusations of misconduct after receiving contrary information, and using their contractual powers for the purpose of frustrating Plaintiff's ability to realize the benefits reasonably contemplated by the Loan Agreement." Id., para. 79. These are the same allegations of wrongdoing underpinning the breach of contract claims.

Plaintiff

argues its allegations of breach of the implied covenant supplement, but do not duplicate, the breach of contract claims. See *Carma Devs. (Cal.), Inc. v. Marathon Dev. Cal., Inc.* (1992) 2 Cal. 4th 342, 372 citing *Racine & Laramie, Ltd. v. Department of Parks & Recreation* (1992) 11 Cal.App.4th 1026, 1031-1032.

The

implied covenant of good faith and fair dealing "cannot impose substantive duties or limits on the contracting parties beyond those incorporated in the specific terms of their agreement." New

Hampshire Ins. Co. v. Ridout Roofing Co. (1998) 68 Cal.App.4th 495, 504. The exercise of contractually granted authority cannot, as a matter of law, constitute bad faith. Id.

Per

California law, defendants had no duty to agree to plaintiff's requests or authorize plaintiff's initiatives. See *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905. Plaintiff fails to allege claims for breach of contract and fails to allege additional facts sufficient to show separate breaches of the implied covenant of good faith and fair dealing. The allegations as pled are duplicative of the failed breach of contract claims. SUSTAINED with 15 days leave to amend.

Defendants

demur to the fifth cause of action for intentional interference with contractual relations, sixth cause of action for intentional interference with prospective economic relations, and seventh cause of action for negligent interference with prospective economic relations. Defendants argue these tort causes of action are barred by *Sheen, supra*, as a matter of law and are insufficiently pled. "When a borrower requests a loan modification, a lender owes no tort duty sounding in general negligence principles to 'process,

review and respond carefully and completely to the borrower's application." Sheen, *supra*, at 922.

The

FAC alleges defendants interfered with the "contract between plaintiff and plaintiff's broker." FAC, paras. 93-99, 101-109, 111-120. The allegations underpinning the fifth, sixth and seventh causes of action are that defendant K-Star employee, asset manager Morden, "made contact with one or more brokers affiliated with the Property and informed them that the Property was in special servicing." *Id.* at para. 45. The FAC alleges the communication implied financial distress to plaintiff's broker(s) which "immediately rippled through Plaintiff's network." *Id.*

The

FAC contains no allegations that Morden's communications were intended to interfere, nor allegations detailing how plaintiff's contract or economic prospectives were harmed. Allegations that the alleged interference was intentional or caused an actual breach in a contractual relationship are necessary to sustain causes of action for negligent and intentional interference. See *Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 55; *Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc.* (2017) 2 Cal.5th 505, 512. The FAC fails to plead necessary facts with sufficient particularity. SUSTAINED with 15 days leave to amend.

Defendants

demur to the eighth cause of action for negligent supervision/hiring. The FAC alleges Morden was "unfit and incompetent to perform the work for which he was hired." FAC, para. 123. The FAC alleges no facts showing: (1) defendants' actual negligence in hiring, supervising or training Morden; (2) defendants knew or should have known that hiring Morden created a particular risk or hazard and that particular harm materialized; or (3) a causal relationship between defendants' supervision and plaintiff's unspecified alleged harm. See *Delfino v. Agilent Techs., Inc.* (2006) 145 Cal. App. 4th 790, 815. This is insufficient. SUSTAINED with 15 days leave to amend.

Defendants

demur to the ninth cause of action for unfair business practices. Bus. & Prof. Code §17200 et seq. While a plaintiff may bring a claim under the UCL if a practice violates some other law, if the underlying or "borrowed" claim fails, so too does the UCL claim. *Angels*

v. Westwood One Broadcasting Services, Inc. (2005) 129 Cal. App. 4th 1050, 1060. The court sustained defendants' demurrers to each of the claims. Further, plaintiff fails to allege with specificity what "unfair, unlawful, and/or fraudulent acts" defendants committed beyond those already alleged in the prior causes of action. See Cansino v. Bank of Am. (2014) 224 Cal.App.4th 1462, 1475 (dismissing UCL claim against bank for lack of specific allegations). SUSTAINED with 15 days leave to amend.

Defendants' Motion to Strike

The court sustained defendants' demurrer in its entirety; the motion to strike is MOOT.